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Mirror & Water image fold back

In childhood every one of us has drawn a painting on half side of the page, after painting half part we used to fold the paper and rub it and the drawing appears on the other half side of the paper. This method is known as mirror image fold back. Can we do the same with the chart to see the future half chart with the help of the historical graph? Yes we can do it, but if we do it in simple manner like we used to do in our childhood we won't find similarities with the actual graph. In real chart, mirror image fold back will match but the price and time co-ordinates may get interchanged. Visibly we won't find any similarities with actual mirror image, since the graph will not look like mirror of the existing but we can get important price and time points in the fold back chart or future chart.

The result and the accuracy of this technique depends on the location of the placement of mirror on the chart. If mirror is placed on wrong half it won't give you satisfactory results. Always try to place mirror at the end of any major move, it may be up move or down move. Mirror can be placed vertically to get what we know as mirror image or horizontally to get water image fold back or in combination of the both.

Initially we will discuss mirror image fold back & its application method. In this method first we will identify a major move or a rally/downfall , then we identify the endpoint of the rally and the starting point of the rally. Now we will draw a vertical line from the end of the rally, we call this as a mirror point or reflection point. Then we draw a horizontal line from the reflection point we call this 'time reflection mirror'. Now we shift either top or bottom points of the previous rally or move to this mirror line. Moving ahead we now draw angles starting from start point of the rally to the time reflection mirror passing through all the points on the mirror.

All the angles act as support as well as resistance lines and the vertical line from the reflection mirror act as time lines on the chart. Seems little bit difficult to understand through theory, lets have a practical example which will solve all your doubts and bring clarity in mind regarding the concept.

Here we take chart of Just dial Ltd. for demonstration purpose. We now mark the low point of the rally as point A and high point of the rally as point B. Now we draw a vertical mirror as well as horizontal time reflection mirror from point B as shown in below fig 7.1.

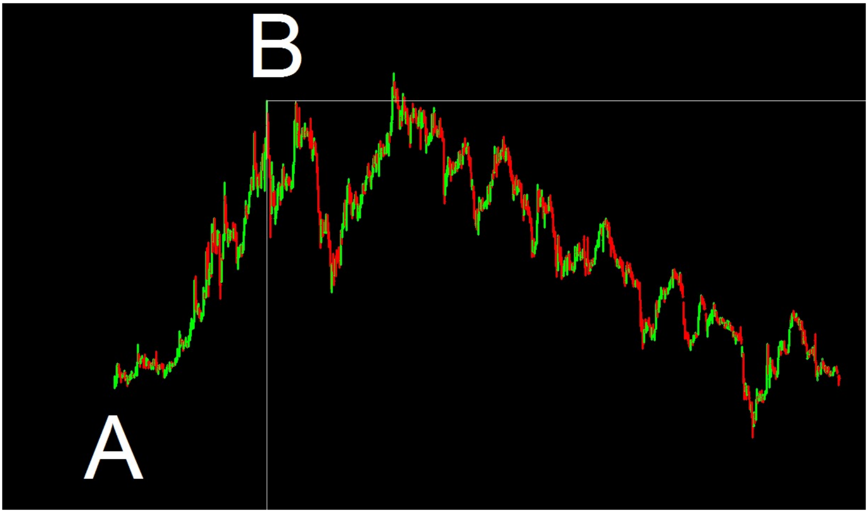

Fig 7.1– Just Dial Ltd.

Now we will shift all the low points of the rally A-B on the vertical mirror as shown in the fig 7.2 below.

Fig 7.2– Just Dial Ltd.

Now we will draw angles from point A passing through all the shifted points. We will extend these angles till the horizontal time reflection mirror. We will draw vertical lines from the point where these angle meets horizontal mirror.

Fig 7.3 – Just Dial Ltd.

Let us see how this mirror geometry has worked.

Point 1— Precise support taken at angle.

Point 2– Again exact support of angle and also the time line has matched.

Point 3—strong support of angle.

Point 4—Downfall started from exact timeline.

Point 5 & 6—excellent support of the angle.

After breaking angle seen in point 5 & 6 scrip went down heavily and then bounced back rapidly from some unknown point. Since it has gone below the lowest point of the rally marked by A-B no angle seems to give us that level.

Now we take **water image fold back.** We need to apply Mirror horizontally. We will place the mirror exactly horizontal to the point A. We already have one vertical mirror at point B., so we will get one cross section of vertical and horizontal mirror marked as point C in the fig 7.4.

Now the images of the points on vertical mirror will get reflected on the horizontal mirror, as shown in fig 7.4 below.

Fig 7.4 – Just Dial Ltd.

Now we will draw angle starting from point A and passing through the image of the horizontal mirror. Let us take only first mirror point. See the below shown fig 7.5. It's a perfect level from which scrip has started the rally. Thus by adjusting mirror horizontally we could get the major important turning points of the scrip.

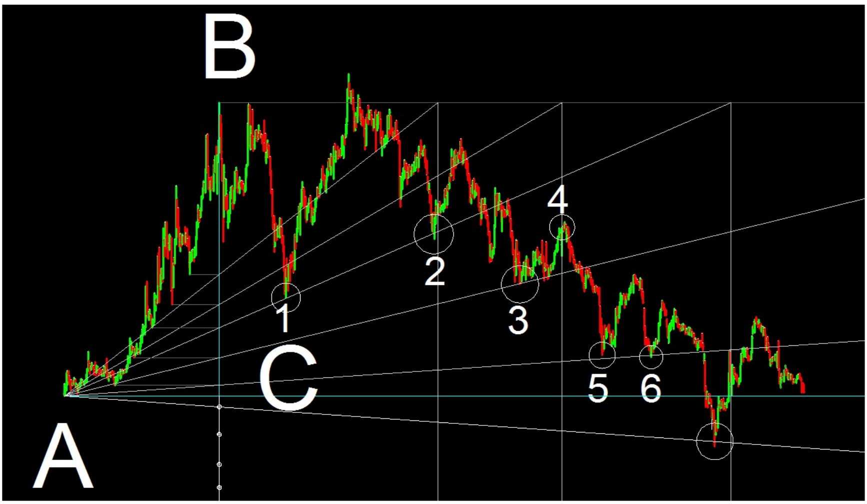

Fig 7.5 – Just Dial Ltd.

In the above example we have shifted price points on the mirror to find out the geometrically important future points. Now we will take horizontal mirror and shift time point on the mirror to check the geometry. Here we are testing the principle on Inox wind Ltd. The scrip marked important low of Rs 315 on 25th Aug 2015, we will place horizontal mirror at this low. Now we shift the important low of 1st day of listing i.e. Rs.400 marked on 9th Apr 2015. The time distance between 9th Apr 2015 to 25th Aug 2015 is 96 days, as shown in fig 7.6 below. Now we converted this time to price distance of Rs 96 and marked the horizontal line Rs 96 below the mirror. See the below shown figure scrip has taken strong support at that zone.

Fig 7.6 – Inox Wind Ltd.

In the same fashion we now shift important high lows to the mirror then get time distance from mirror base point and convert it to price below the mirror, see the points marked as A,B,C amazing performance !!!

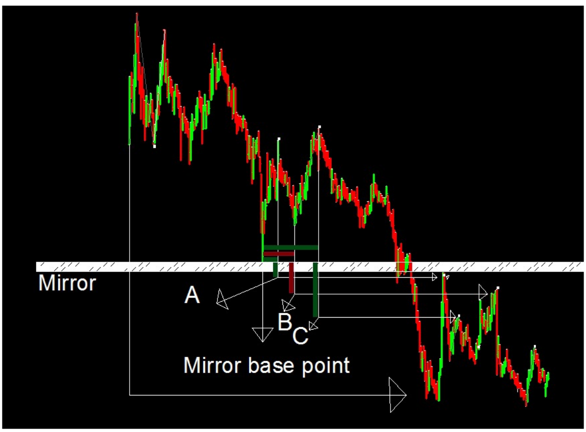

Fig 7.7 – Inox Wind Ltd.

Lets take another example of horizontal mirror with time shifting, here we take Wockhard Pharma. We have marked low of Rs 1125 dated 8th Sept 2015 as important low for placing horizontal mirror. Now we shift the most important high of 8th Apr 2015 on mirror creating a distance of 107 days from the Mirror base point. This time of 107 days we convert to price and went down Rs 107 on price axis or y axis. Surprisingly that is the ultimate low of the scrip, see fig 7.8 below.

Fig 7.8 – Wockpharma Ltd.

Most important warning to reader, these calculations work only on Mitotic scaled chart hence should not be tried on any other scale.

In the above example rate of mirror base point is Rs 1125/- if we deduct 107 from Rs 1125/- we get Rs 1018, but the actual low marked by the scrip is Rs 705/-. Mitotic scaled chart will only give the target of Rs 705/- and not any other method of scaling, hence caution is advised.

The same thing is advised while using the method of shifting of price point on the vertical or horizontal mirror. Results will not be satisfactory if another scale is used.

Let us see how the method of price point shifting works here.

Here we have placed 4 mirrors simultaneously. Mirror M1 is placed vertically at low of 8th Aug 2013, Mirror M2 is placed horizontally on the same spot marked as Point B in below shown fig 7.9. Mirror M3 is placed vertically at high of 19th Mar 2015 and Mirror M4 is placed horizontally on the same spot.

Now we shifted intermediate high of 16th May 2013 to the mirror M1 and drawn angle passing through this point till mirror M2. The vertical reflection of this point has given us point no.5 which is price time balancing point, because it has taken support of one of the angles.

In the similar fashion we have shifted important high low price points to the mirror M3 and angles are drawn passing through the reflection points on the mirror. Moving forward these angles get reflected from the mirror M4 giving us the important time lines.

See the below shown fig 7.9 for verification of the result. Point no 1 shows the support taken by the scrip on one of the angles. Point no 2 shows the exact time of the top of intermediate move. Point no 3 again shows strong support on one of the angles. Point no 4 shows the break of the angles and resistance to the same before continuing the downfall to the point no 5 which has balanced price and time. Multiple Mirror give us confluence points which are more reliable while taking decisions.

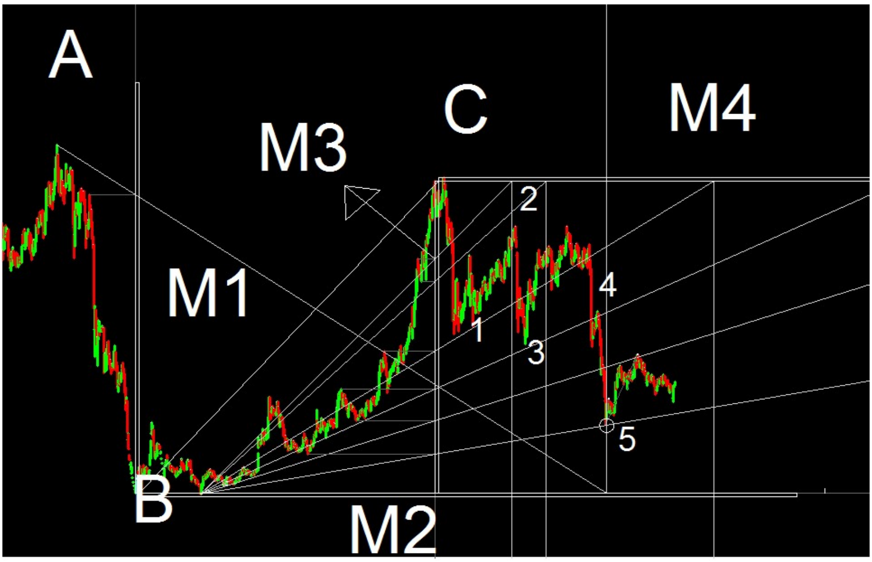

Fig 7.9 – Wockpharma Ltd.